Romania's economy has cooled, but inflation hasn't. Years of wage-driven demand, repeated energy and tax shocks, and stubborn services inflation are making the road back to price stability unusually slow

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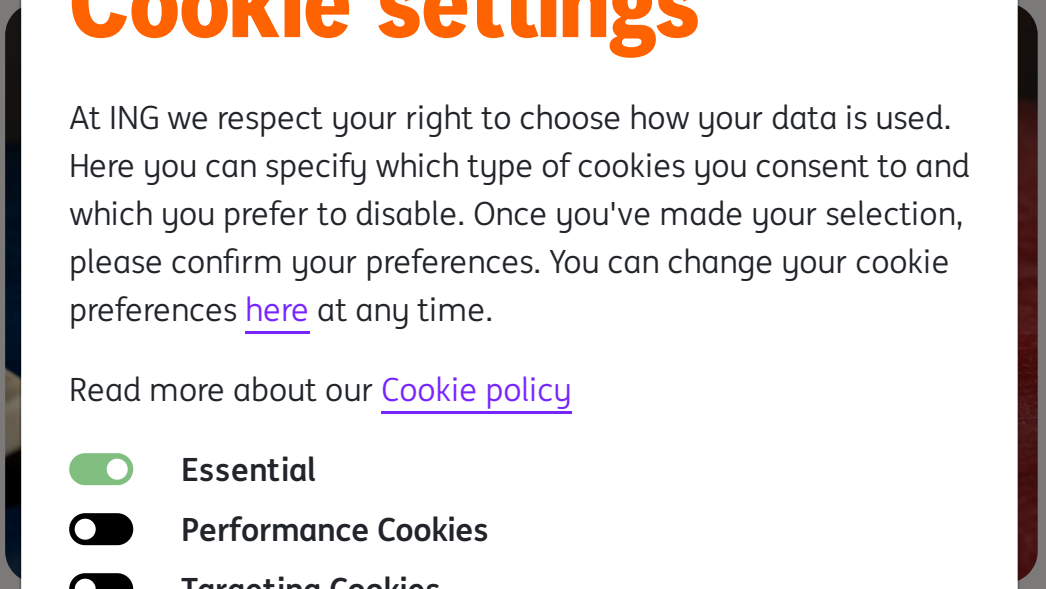

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than two years. Growth has stalled, wage growth has slowed sharply, real incomes are under pressure, and fiscal policy has tightened. Yet underlying inflation remains stubbornly high relative to both the rest of Europe and the National Bank of Romania's (NBR) target.

This disconnect between a cooling economy and persistent inflation is Romania's central macroeconomic story. While the country is still undergoing some income and price level convergence with the euro area – making a modest inflation differential structurally normal – that benign catch-up has been overwhelmed by much stronger forces. Years in which nominal

incomes and domestic demand outpaced productive capacity have been followed by a succession of overlapping energy, tax, and administered-price shocks, each feeding into wages, services, and short-term expectations before the previous shock had time to fade.

The headline figure is falling, but the underlying picture remains fragile

Romania's annual consumer price inflation fell from 10.4% in June to 6.2% in August, before edging up to 6.6% in September (6.5% on the EU-comparable HICP measure, with prices rising 0.77% in S
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A relay race of shocks

Disinflation has been so slow partly because Romania has rarely enjoyed a clean window for one shock to fade before the next arrived. The pandemic supply shock was followed by the 2022 energy crisis. Energy price caps softened the initial blow to households but merely postponed the adjustment; their subsequent unwinding was followed by VAT and excise hikes in 2025, resetting the price level again. Before those effects could wash through wages and contracts, a new energy shock emerged in 2026. The NBR's August Inflation Report cited geopolitical

tensions involving Iran and low Danube water levels – which constrained hydro and nuclear output – among the factors pushing fuel and electricity costs higher, prompting the bank to raise its end-2026 inflation forecast to an optimistic 6.1%.

Because inflation is path-dependent, this sequence is more than a statistical twist. A temporary shock that leaves wage negotiations and pricing behaviour unchanged eventually vanishes from the inflation rate; a shock embedded into contracts and expectations does not.

Romania is unusually vulnerable to this dynamic. Food and energy n
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competition. A manufacturer facing higher local costs can automate, relocate, or lose market share to imports. A restaurant, hairdresser, dental clinic, or maintenance firm cannot import its service from Germany; its costs and customers are local, making wages, rent, and domestic expectations the primary drivers of pricing.

While the 11.1% services figure also reflects lumpy adjustments in rents and regulated utilities, the broader message is clear: inflation has migrated from energy and traded goods into prices set inside Romania.

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Wages: the legacy of a boom that has already ended

Wages are central to this story, though their timing matters more than their current growth rate. At the macro level, unit labour-cost growth roughly equals wage growth minus productivity growth:

Unit labour-cost growth ≈ wage growth – productivity growth

When wage growth outpaces productivity, the cost of producing a unit of output rises, forcing firms to accept lower margins, cut hiring, or raise prices.

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beneath the cyclical slowdown, ready to reignite wage pressures once demand returns.

Imports: the safety valve that shows up as a deficit

When domestic supply cannot keep pace with demand, imports act as a safety valve. Both household consumption and capital investment in Romania are heavily import-intensive; when the government raises wages, pensions, or infrastructure spending, a large share of that demand leaks abroad.

For several years, excess domestic demand was absorbed not just by higher local prices, but by a widening trade gap, resulting in a current account deficit of 8.2% of GDP in 2024 and 7.9% in 2025, the largest in the EU. Imports thus prevented domestic inflation from rising even higher, but at the cost of a severe external imbalance and greater vulnerability to global commodity prices and exchange-rate shifts. Inflation and the current account deficit are ultimately two sides of the same coin: domestic demand persistently outrunning productive capacity.

Fiscal policy: yesterday's accelerator, t

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demand effect is disinflationary.

This explains how Romania can combine weak activity with still-high inflation. Romania is currently caught between those two stages. The inflation data continue to reflect the impact of higher taxes, energy costs and regulated price increases introduced as part of the adjustment, even as the same fiscal correction is weighing on demand. Fiscal policy is now contributing to the cure, but some of the instruments used to achieve the cure temporarily worsen the inflation print.

The NBR and monetary policy: constrained, not cosmetic

Despite inflation sitting well above the NBR's 2.5% target, expectations have not fully de-anchored. Instead, anchoring has become horizon-dependent. Professional forecasters still see longer-term inflation near the top of the target band (with the NBR projecting 3.4% by the end of 2027), showing the target still anchors the destination. However, households and firms base their short-term pricing and wage decisions on the supermarket prices and utility bills they see today, leaving the target with little grip over the near-term route.

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over the period during which those decisions pay off. If inflation is expected to decline toward 3.0-4.0%, nominal borrowing costs above 5.0% imply materially positive ex-ante real rates. The NBR's constraint is therefore not simply a reluctance to tighten. With the economy near stagnation, fiscal policy tightening, and supply-side shocks unresponsive to rate hikes, the NBR is sensibly relying on fiscal drag and weak consumption to do the heavy lifting – even if the lags are long.

The exchange rate: stabilising inflation, delaying adjustment

The leu formally floats, but the NBR has historically limited large EUR/RON movements. For an import-intensive economy, that policy has clear benefits. A large depreciation would quickly raise the domestic cost of imported goods. Exchange rate stability therefore acts as a second nominal anchor alongside the inflation target. But it also changes the way the economy adjusts.

The euro traded near RON 5.09 in March 2026, around RON 5.23 by May and roughly RON 5.34 by early October – a noticeable weakening of the leu after years of remarkable stability not far from the 5.00 level. Even so, the currency has moved far less than domestic costs. When Romanian wages and prices rise persistently f
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That leaves the NBR facing a genuine trade-off. Allow more nominal depreciation and import additional inflation in the short term, or limit depreciation and accept a gradual deterioration in cost competitiveness when domestic costs rise faster than those of trading partners. Romania has largely opted for a modified version of the latter approach, managing to combine exchange rate stability with rapid wage growth and persistent inflation for several years. The needed adjustment did not disappear, however, but it was largely redirected into real appreciation and a wider current-account deficit. A stable exchange rate also preserved the purchasing power of rapidly rising incomes. That helped support

consumption growth and, given Romania's high import propensity, channelled part of the demand expansion into imports and a larger external deficit.

Productivity: the only durable solution, but one that takes time

Weak consumption and high interest rates can suppress inflation temporarily, but the only lasting cure is expanding productive capacity: better infrastructure, higher labour participation, stronger skills, and a larger tradable sector.

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restrictive, real incomes are shrinking, consumption is weak, and growth is near zero. Yet the economy entered this slowdown carrying a massive overhang of unresolved cost pressures from 2023-24 and a fresh round of tax and energy shocks. Consequently, the most important metrics over the coming months will not be headline CPI prints, but adjusted CORE2 and services inflation. If they begin to fall as weak demand works through the economy, Romania is navigating a longer but ultimately conventional disinflation. If they remain sticky, domestic pricing has become backwards-looking enough to require a much longer period of economic

slack – or sharper policy intervention.

For now, the evidence points to persistence rather than de-anchoring. It is also important not to confuse Romania's inflation differential with macroeconomic imbalance. As long as the economy continues to converge towards euro-area income and productivity levels, the Balassa-Samuelson effects are likely to generate a modest inflation premium, particularly in domestically oriented services.

Romania is not trapped in a permanent high-inflation regime, nor has the recent dip in headline CPI completed the

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French spreads remain under pressure as protests reinforce concerns that any future government will struggle to deliver the reforms needed to stabilise public finances. At the same time, the ECB's hands are largely tied by energy prices still pressuring inflation

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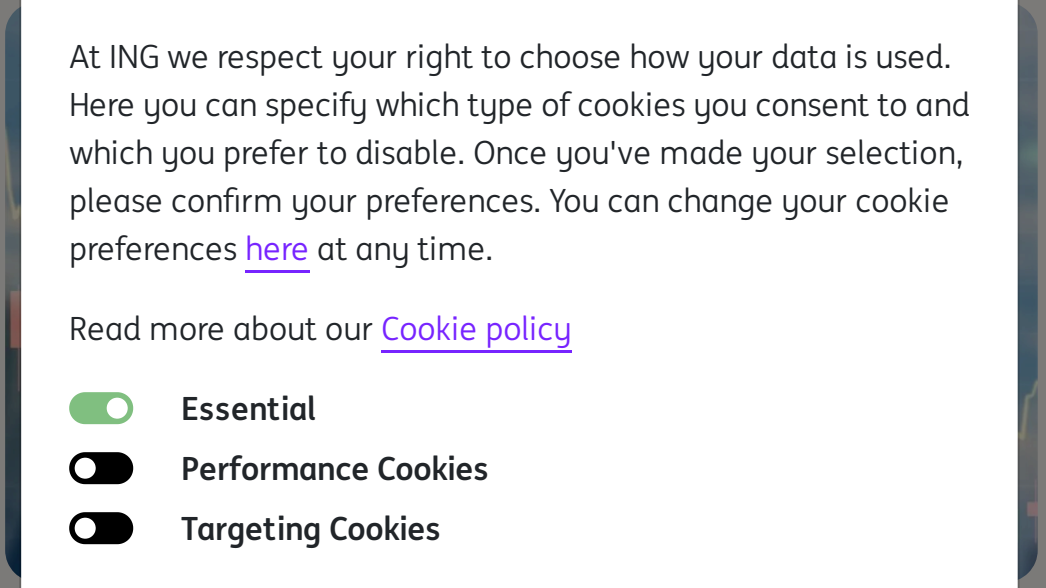

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France remains one of the focal issues in the eurozone. The spread of French government bonds over Germany has come under renewed widening pressure against the backdrop of violent protests grabbing the headlines.

The protests inject more uncertainty into the dynamics ahead of the presidential elections. On the right, Le Pen has jumped on public unrest to promote her law-and-order platform. Others have shifted the blame to the left. And indeed, if betting markets are to be trusted, the beneficiaries appear to be the right and centre candidates, while on the far left, Mélenchon's chances of winning

the presidential race have been pared back of late. For bonds, that might be the only consolation, as his plans are viewed among the most controversial.

More importantly, the protests highlight that any government will struggle to implement the required reforms and savings against broader public resistance.

Tuesday will likely see more headlines around the 2027 budget, as Parliament is slated for a first formal vote on the revenue section of the finance bill. From a flurry of proposed amendments, what remains is tax revenues being pared back and tax breaks expanded. It

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up, and despite some dovish ECB remarks around the tightening of financial conditions, energy market pressures are tying the ECB's hands. A next test for French spreads awaits later this week with a scheduled rating review from Moody's.

Tuesday's events and market view

Following the UK jobs data in the morning, the next focus in European data is the German ZEW index, which is again expected to show an improving outlook for businesses. The

US publishes housing data for September – building permits, housing starts and pending home sales. Central bank speakers scheduled for the day are the ECB's Rehn and the BoE's Greene. The National Assembly is slated for a first vote on an amended revenue section of the government's finance bill.

In primary markets, Germany reopens 2y and 27y green bonds (€1bn) while Finland auctions 4y and 10y bonds (€1.5bn). Italy is active in the retail segment this week, collecting subscriptions for the 5y BTP Valore and 5y BTP Valore Insieme. The UK will auction 10y gilts (£4.25bn).

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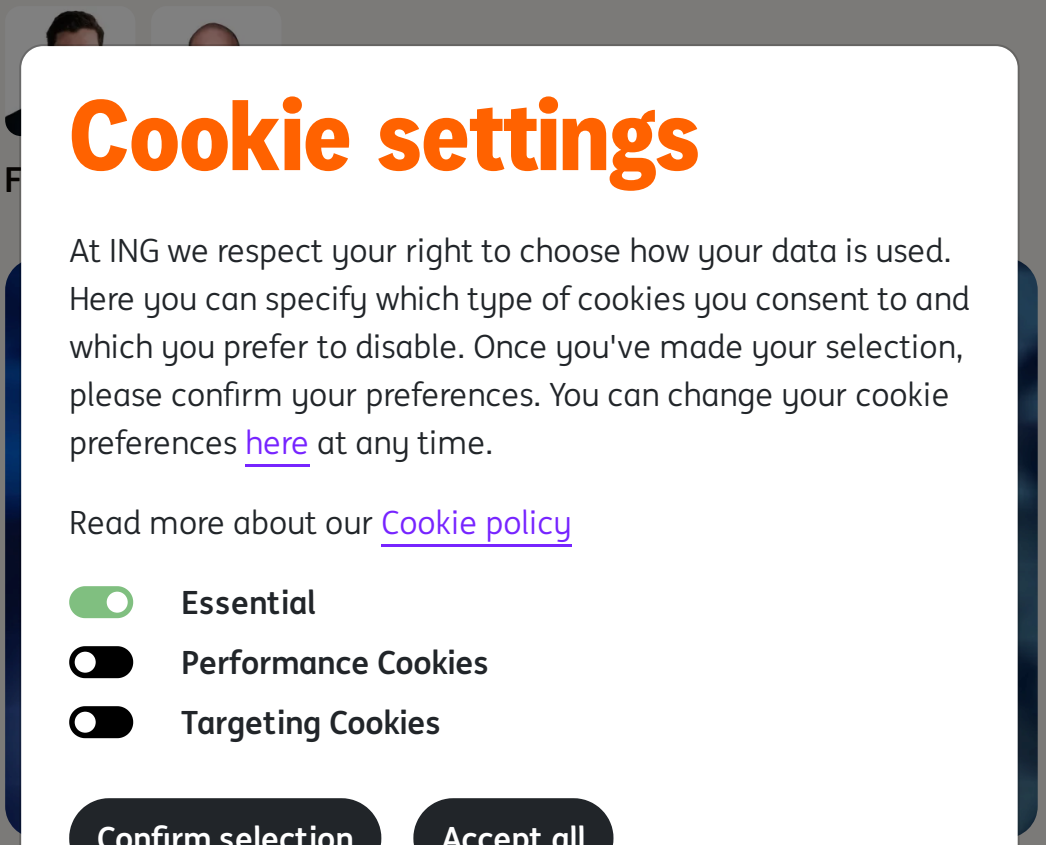
After big moves in front-end USD rates, the dollar has shown it could be a laggard in further stock market instability if led by AI concerns. Still, we don't think we are on the brink of a major USD decline. EUR/USD may struggle to stay supported today as protests in France spill over into local assets, while we see limited impact from US-Ukraine news for now



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USD: AI jitters leave USD on less solid ground

AI-related jitters entered the FX picture last week, although currencies are more accurately borrowing the reaction from the rates channel. The USD two-year OIS/SOFR has dropped 25bp from the 14 October post-US CPI print. These are mammoth moves considering they have been driven almost entirely by AI concerns, with effectively no macro input.

Markets appear to have a clear reaction function in mind: stock market turmoil is enough to drastically reduce Federal Reserve tightening plans, even with inflation running hot. The reasoning is probably linked to the market wealth effect that many believe has underpinned US economic resilience. This is enough to suggest the dollar will not be the safe-haven of choice and may actually lag many other G10 currencies if stock market instability originates in tech/AI.

Still, contagion to broader US and world equity indices has so far been contained, while the Nasdaq drop has only erased the last 30 days of gains. AI-related sentiment will remain an input for FX this w… a n… n… er F… b… a… ir…

A… b… U… n… a… r… a… ir… meaningful developments this week.

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Francesco Pesole

EUR: French protests may curb upside for now

EUR/USD briefly dropped back below 1.120 overnight before inching higher again this morning. The move in short-term rate differentials has pushed our short-term fair value estimate for EUR/USD higher to around 1.137-1.139. The current undervaluation is therefore around 1.3-1.5%, broadly consistent with French fiscal risk

remaining very much present, as reflected in the 10yr OAT-Bund spread hovering around 135-140bp.

Markets have appeared tentatively more relaxed about the budget situation. Still, continued widespread protests in France over the weekend should weigh on domestic stocks and could spill over into the bond market. We doubt that is enough to drive further sustained widening per se, but it may limit EUR/USD's ability to return to Friday's levels.

On the macro side, the highlight of the week is Friday's PMI release. Expectations are for a modest softening in the eurozone composite f

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anchored around 2.0%.

The jobs market has given some warning signals, with two consecutive negative prints in August and September and the unemployment rate rising to 6.5%. Still, with growth proving resilient and a widening rate spread with the Fed, an (insurance) rate hike in December by the Bank of Canada remains a clear possibility. The BoC also releases its business outlook survey today.

Markets are fully pricing in a 25bp December hike, as well as 9bp for next week's meeting. That suggests limited upside for the Canadian dollar, even if the October meeting is used to set the stage for a

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December move. That is, barring a surprise October hike, although we don't sense that markets are underpricing here.

We don't see much more downside for USD/CAD at this stage, with a return to 1.420 still our baseline for the month-end and year-end.

Francesco Pesole

CEE: Hungary to release its budget plan for the coming years

Today's focus is Hungary's draft budget for next year. Hungarian bonds have rallied strongly in recent weeks on growing

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On Thursday, we expect the Central Bank of Turkey to resume its easing cycle for the first time since the US-Iran conflict began, cutting rates by 100bp to 36.00%. September's inflation data provided a positive signal, while developments in investment funds point to downside risks for the economy in the final quarter. Although crowded long TRY positions offer less and less carry, they remain popular in emerging markets, and we expect this demand to persist in the coming months despite renewed rate cuts.

Beyond the scheduled events, we are monitoring political developments in Romania, where the new government appears highly likely to win a confidence vote. This should help stabilise

EUR/RON after its decline late last week, and we expect the pair to settle around 5.340. In the Czech Republic, the Czech National Bank may offer its first signals ahead of the November meeting, when we expect another rate hike.

Frantisek Taborsky

FX

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From better fiscal headroom to surprise income tax hikes, this is how UK Chancellor John Healey's first budget could surprise investors

James Smith

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Higher debt interest costs look set to drive the level of 'fiscal headroom' from £24bn in March to £10bn. There's a growing sense that Chancellor John Healey would like to get this up to £15bn or higher. The government is set to modestly increase spending on the cost of living, though the total intervention is unlikely to meaningfully top £5bn and it's likely to be mostly billed as temporary to avoid counting against the main fiscal rule. We expect an increase in capital spending of roughly £10bn/year, bearing in mind this is exempt from the fiscal rule dictating that the current budget must be in surplus after five years. To rebuild headroom

against that rule, we expect £5-6bn of tax hikes, likely via a higher Bank Surcharge and possibly broadening the National Insurance tax base.

In short, we don't expect the budget to deliver a material stimulus (or add materially to the already-planned fiscal consolidation). The impact on the Bank of England, which is poised to hike rates in November, is likely to be fairly minimal.

But all chancellors like to keep a rabbit in their hat – and what follows are five ways it could surprise us.

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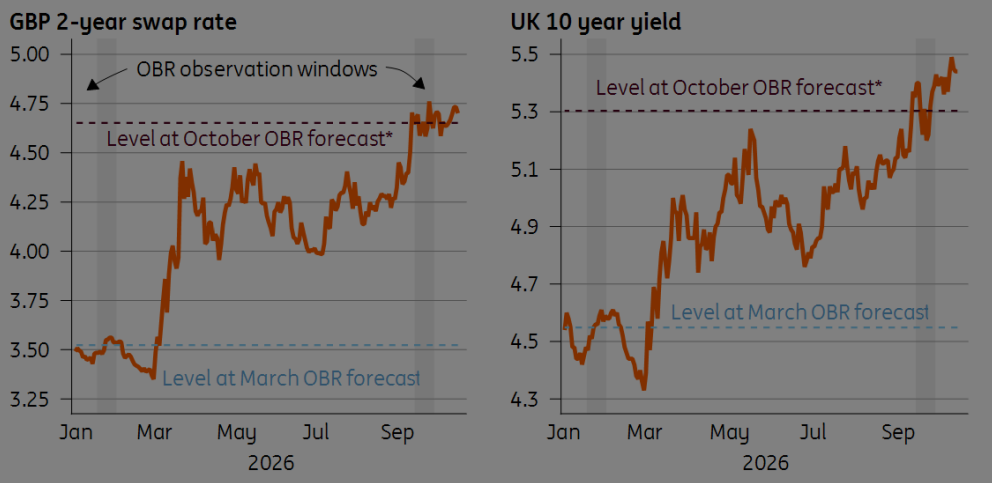
government has left under its main fiscal rule, which requires the current budget (day-to-day spending, including debt interest less revenue) to be in surplus within three years. Back in March, that surplus, or fiscal headroom, was projected at £24bn in 2029/30.

Debt interest costs are rising



*Based on the average rate in the 10 days up to 25 September, which likely represents the OBR's observation window for this budget

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growth. Will the rise in energy prices spill into higher pay, just as it did in 2022? We think it won't, not least because the jobs market is much weaker, an assessment we suspect the OBR will share.

But even relatively small upgrades to wage growth can make a big difference to the government's fortunes. Since 2010, the OBR has revised the level of earnings across its five-year forecast by an average of 1.3 percentage points in absolute terms. If it did that now, say by lifting wage growth over the next two years by 0.6ppt apiece, it would add £10bn to headroom, almost perfectly offsetting the hit from higher interest costs.

There are also reasons to think the impact of lower migration projections, which some reports suggest could wipe another £7bn off headroom via lower tax revenue forecasts, could be much less than feared. The starting point for employment looks a little higher than it did back in March. The rise in global equities this year should also be helpful for capital gains tax projections.

Why does this all matter? Because the higher the headroom, the less 'need' there is to hike taxes, and if it is significantly higher than expected, the more room there is to increase spending under the fiscal rules.

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substantially smaller real-terms budget increases across the medium term.

Even before the Iran War, government plans pencilled in real-terms cuts to per capita departmental spending in FY2029. Given some functions, like health, are 'protected', that implies much deeper cuts to smaller departments.

Suffice it to say, that is unrealistic. Higher inflation will push up the wage bill across government. It would cost £12bn to simply maintain those March departmental spending plans in real terms. That's before considering the cost of ending that austerity pencilled

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in for later this decade, or how the government will fund its defence or social care ambitions.

A top-up to government departments is inevitable – the question is when. It looks like the Treasury wants to kick the can on these tricky budget decisions until next autumn, when it plans to release its next Spending Review, a process of allocating money across departments. No doubt the hope is that debt interest costs will have fallen and the economic outlook brightened, such that there's more space under the fiscal rules to make bigger spending commitments.

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all these policy changes affect GDP growth and borrowing over the next year. If there's a material stimulus effect, it could add to market bets on UK rate hikes.

3. A manifesto break on income tax

Tax hikes are likely at the Autumn Budget, but should be very small. We're probably looking at a package of circa £5bn (0.2% of GDP). Part of the problem is that the list of viable options looks perilously small if Labour is to avoid breaking its manifesto pledge not to raise

the major taxes, which together account for around 70% of total revenue.

Our best guess is that the budget will include a hike in the Bank Surcharge (raising £2bn if increased from 3% to 8%), together with a broadening of the tax base for National Insurance to landlords and partners in LLPs (together yielding around £2bn/year). Other options, like ending a loophole on stamp duty for commercial property or lowering the VAT threshold for businesses, have also been on the table.

The problem with many of these measures is that they require

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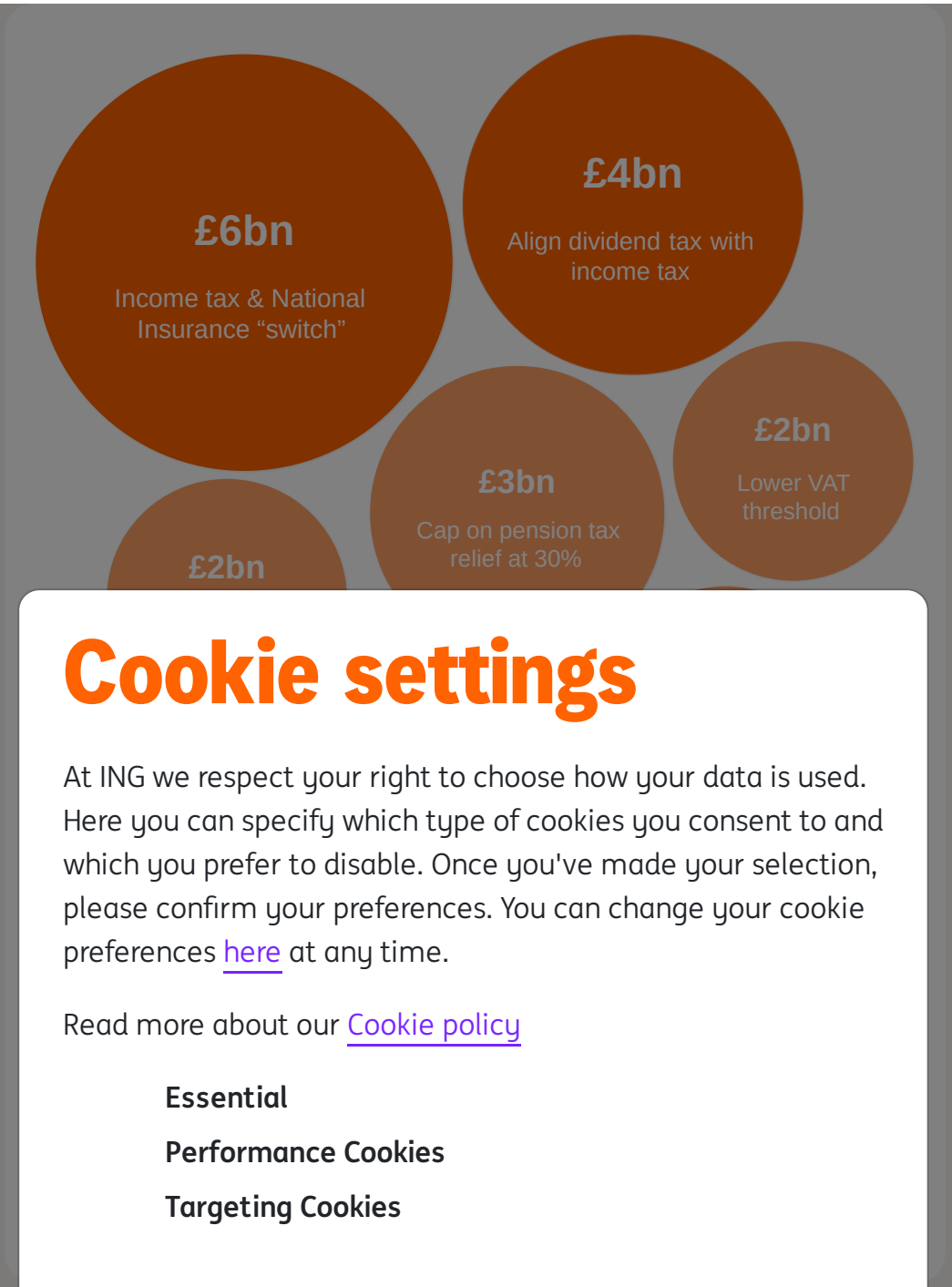

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Is
tax – one good, one bad.

The good? A surprise announcement of a so-called ‘tax switch’, a novel proposal from Resolution Foundation which would see the government simultaneously raise basic income tax and cut employee National Insurance by 2ppt. The impact on workers would be neutral, but because income tax has a broader base (including pensions), this would raise £6bn/year.

Though not a substantial sum, it would signal to investors that Prime Minister Andy Burnham isn’t afraid to go near the thorny issue of raising taxes. But in light of recent pension changes,

including to the infamous ‘triple lock’, this feels like too much of a political gamble at this stage.

The negative surprise would be if the Treasury decided to raise the basic tax allowance. Burnham flirted with this on his first day in office; it would not only be expensive (potentially £10bn), but it would also signal that the UK’s commitment to the threshold freeze – which is doing the lion's share of the planned fiscal consolidation – is waning.

4 A big rise in the National Living Wage

The minimum wage increase in April 2027, which will be a

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to be growing recognition among Labour figures, including on the left of the party, that the big minimum wage increases, coupled with previous payroll tax increases, have had a big impact on business – particularly in consumer services.

But if the LPC were to recommend minimum wage growth of close to 5%, could the government resist it? In theory, yes. But politically, we suspect not.

5 A surge in bond issuance

We already know that bond issuance is set to increase again in 2027, though for reasons unrelated to the UK’s fiscal trajectory.

The chart below shows that in April, the Debt Management Office projected a gross financing need of £308bn, similar to the big number in FY2025. We suspect that when we get the updated DMO remit following the budget, next year's issuance could be closer to £325bn – though a greater chunk of that will likely get funded using bills, meaning the actual pick-up in gilt sales relative to those previous plans is likely to be more modest.

How debt issuance plans broke down as of March/April

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borrowing is still likely to be projected to keep falling through the rest of the decade. The major risk – related to some of the things discussed earlier, like larger near-term spending or surprise increases in tax allowances – would jeopardise this fundamental improvement in bond issuance in the medium term. That's something investors wouldn't take kindly to.

United Kingdom | Tax | Budget | Bank of England | Andy Burnham

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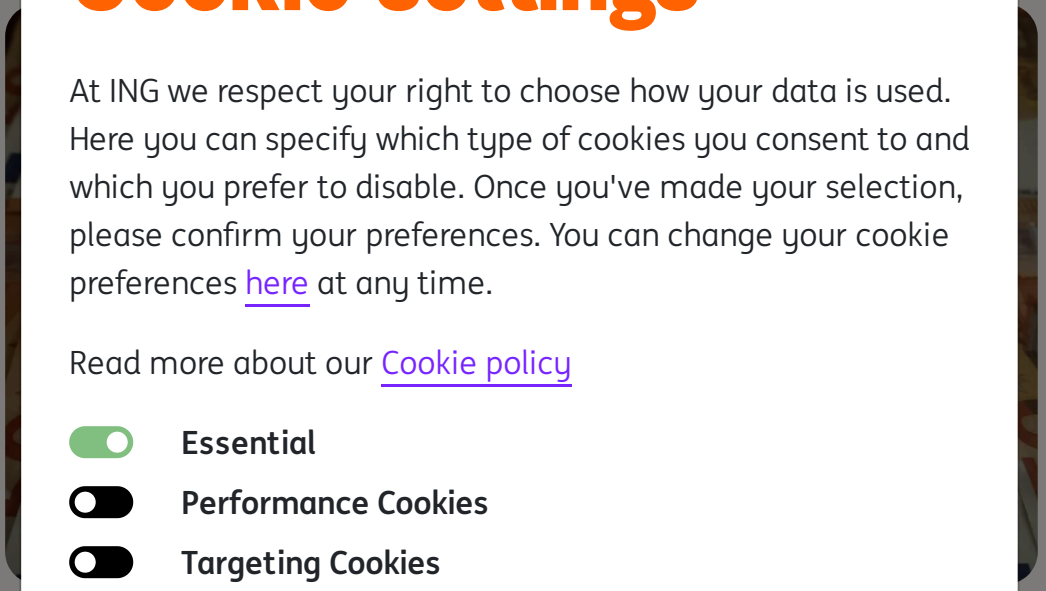
Join ING economists to explore new research that challenges perceptions of Europe's investment culture. We'll debunk some common misconceptions, examine how attitudes and behaviours are changing, and discuss what it all means for Europe's future growth. Sign up here

Marieke Blom, Carsten Brzeski, Charlotte de Montpellier, Amrita Naik Nimbalkar, Sebastian Franke, Paolo Pizzoli, Valentin Tataru a



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suggests the gap between European and US savings is smaller than often assumed, while attitudes towards investing may be shifting. Half of Europeans with savings already invest, and another 30% say they would consider doing so.

In this webinar, we'll discuss why this matters for household wealth and economic growth, what is preventing more Europeans from investing, and how attitudes differ across countries. We'll also explore what could help to unlock Europe's investment potential. Click here to sign up.

Details

Date: Thursday, 22 October

Time: 1430 BST/ 1530 CET

The webinar will last 45 minutes, including a Q&A session at the end.

The event will take place online and the waiting room will open 60 minutes ahead of the scheduled start time.

A joining link will be emailed following registration and you will receive a reminder email 10 minutes before the scheduled start time.

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US manufacturing is performing strongly with output gains led by advanced technology production, pharmaceuticals, chemicals and energy. However, more commoditised production, where it is difficult to justify paying extra for a 'made-in-America' premium, is struggling

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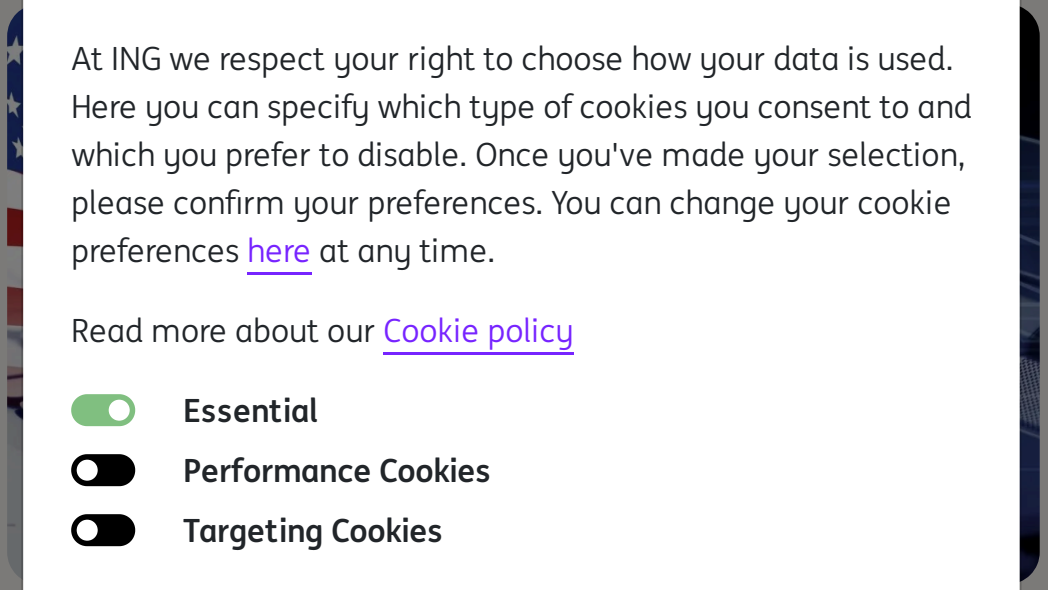

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Manufacturing is gaining momentum

Today has seen the release of another decent US industrial production report. September output rose 0.7%MoM/2.2%YoY plus there was a 0.1ppt upward revision to August's growth rate (consensus was looking for a 0.4% gain overall). Manufacturing did OK, rising 0.3% month-on-month, especially when we consider that auto volumes fell 3%, while utilities surged 3.5% MoM as output is ramped up to meet demand from data centres and expanding manufacturers. Mining was up only 0.2% MoM.

The sector has struggled in recent years with stagnant output, but the business surveys have all been pointing to an improving picture. The chart below shows the relationship between manufacturing output and the ISM manufacturing series, with the latter suggesting further decent gains are likely. The labour market data tells a similar story with 72,000 manufacturing jobs added year to date, after three consecutive years of net job losses in 2023, 2024 and 2025. Average weekly hours worked in the sector are at a 3.5-year high of 40.6.

US ISM manufacturing index and official r

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So why is US manufacturing doing so well? Tariffs on foreign-made products and energy security do boost the attractiveness of manufacturing in the US. But so does US economic growth continuing to outperform other key markets. Between 2023 and 2026, the US economy has grown an average of 2.5% year-on-year in volume terms versus 0.9% in Europe.

At the same time, the US Administration believes maintaining the lead in the AI/technology frontier is imperative for both economic and national security, given competition from China. Rapid AI

adoption is leading to robust construction of data centres, boosting electricity demand and spurring investment across the power supply chain, from generation and transmission to electrical equipment.

As we can see in the chart below, high value-added or advanced manufacturing, within which we group tech, electronics, transport and power-related sectors, has significantly outperformed other sectors. We expect this story to continue. We also see defence as a sector that should continue to post strong growth. As more countries increase military spending, US companies may benefit from strengthening order books.

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Traditional, labour-intensive, commoditised manufacturing sectors continue to shrink under pressure from foreign competitors. Here, tariffs are not enough to provide the competitiveness boost needed to offset the high cost of production in the US. These US producers are also often detrimentally impacted in foreign markets by retaliatory tariffs.

Bifurcation set to intensify

As we outlined in our latest manufacturing outlook , highly automated, high-value-added sectors at the forefront of the

AI/technology revolution will continue to perform strongly. The desire to incorporate AI advances should, in theory, drive advances in productivity-enhancing initiatives that further support innovation. As such, pharma, tech, transport & aerospace, electrical and power-related sectors should continue to grow robustly. Lower value-added production, where labour costs make up a greater share of the overall cost base of production, will continue to struggle unless it can garner a 'made-in-America' premium.

US | Manufacturing | Industrial production | Energy

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Belgium's current failure to agree on a three-year €10bn savings package is not yet a political crisis, but it is a missed opportunity. A deal on the 2027 budget remains possible, yet delaying the harder choices risks weakening the country's fiscal credibility as the 2029 elections draw closer

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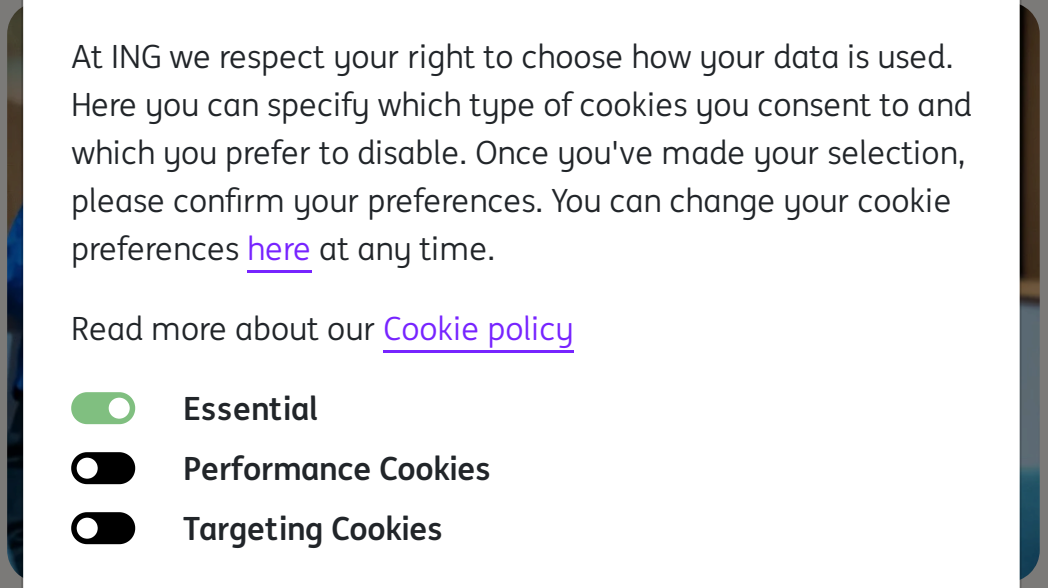

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This was supposed to be a decisive week for Belgium's public finances. The prime minister was due to deliver his general policy statement to parliament on Tuesday, outlining a budget agreement among the governing parties for the next three years, up to the 2029 elections. In addition to measures already adopted, the government is seeking €10bn in recurring savings, phased in over the next three years.

A new timetable for negotiations

For now, however, the budget talks have failed to produce an agreement. A central element of the package was a one-

percentage-point increase in the standard VAT rate, from 21% to 22%, but one coalition party firmly opposed the proposal. The general policy statement therefore had to be postponed. Under Prime Minister Bart De Wever's revised timetable, the immediate priority is to secure agreement on the 2027 budget, including €4bn in savings.

Ideally, a deal would be reached by the end of October, allowing parliament to debate and approve the legislation before year-end. This would avoid recourse to the system of provisional twelfths, under which the previous year's budget is rolled over on a monthly basis to keep public services running. The PM has made clear that h d t c e

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There is no political crisis at this stage. With a package of measures, Belgium should still be able to adopt a 2027 budget that brings the deficit below 5% of GDP. Even so, failure to reach a swift and comprehensive agreement on the full €10bn package is a missed opportunity for the federal government to show financial markets that Belgium is not France.

On headline indicators – public deficits, debt and even economic growth – little separates the two countries. France's difficulty, however, lies in its inability to set and pass a budget, compounded by the political uncertainty surrounding the April 2027 presidential election. Belgium, by contrast, has a governing majority capable of

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approving a budget and pursuing structural reforms, as it has demonstrated since 2025. A three-year agreement would have sent a powerful signal that the country's public finances were being placed on a more sustainable path.

For now, that opportunity has been missed, though we still believe some less ambitious agreement is likely in the coming weeks.

Public finances | Belgium

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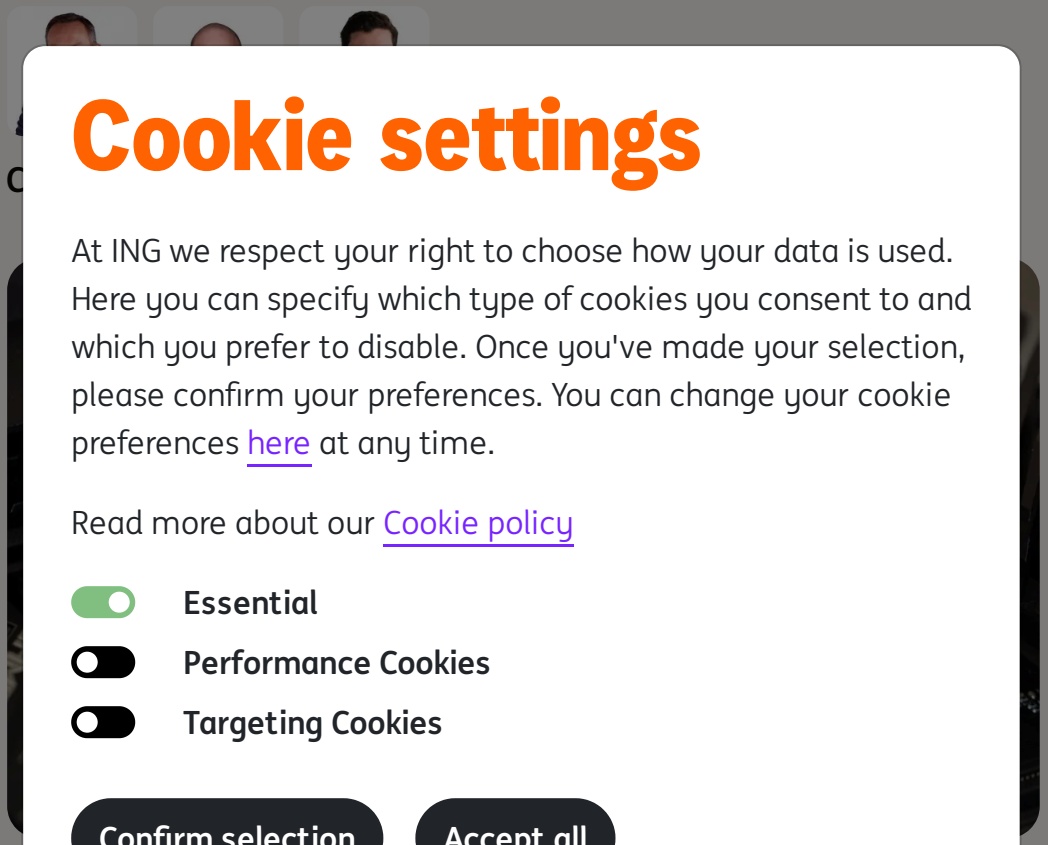
Financial markets have calmed a little after Coreweave stock bounced on Thursday. But the debate between intensifying price pressures needing tighter monetary policy and a tech correction requiring a softer policy outlook continues. Expect more consolidation in FX markets today and more interest in local stories, such as Indonesia's equity travails



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USD: What does the flatter yield curve mean?

The sell-off on Coreweave assets saw a modest reversal yesterday after Nvidia's CEO, Jensen Huang, said that Coreweave's financial strength was improving and its cost of capital was declining. Perhaps those comments should not be surprising from a major shareholder in Coreweave; let's see how long this bounce in Coreweave assets lasts. The big takeaway this week has been the recovery of the long-end of the US Treasury market, even as

inflation data continues to come in hot. Here it seems that investors are starting to find value in long-dated Treasuries and are viewing those as a middling hedge against a correction in the AI trade. Were the tech sell-off to gain momentum, that Treasury buying would move to the shorter end of the curve.

While fears of an AI correction may be growing, inflation data continues to come in hot. Yesterday it was US September PPI data blowing away consensus. And today, import prices should come in near 8% year-on-year, the highest since summer 2022. Inflation data is keeping short-dated interest rates supported and has delivered a near 20bp flattening in the 2-10 year Treasury curve t

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Today's eurozone data should see September CPI confirmed at 3.8% – well above the European Central Bank's 2% target. Markets are still reeling from the hawkish set of inflation forecasts delivered at the ECB September press conference, a key driver of the near 75bp of further tightening expected from the ECB. Our team looks for just one more hike, however, and developments in French bond markets will have a big say in whether the ECB needs to tighten much more from there.

EUR/USD has received a lift from this week's unease in US AI stocks and may be entering a decent consolidative phase now. This could be worth a move all the way to 1.1340/50. But do not expect EUR/USD to be the big outperformer on a further US equity correction. We think a lower USD/CHF would take the lead there.

Chris Turner

CEE: Wage embers and price sparks

The CEE week ends with mostly second-tier data. Hungary releases August wage figures this morning, one of the central bank's remaining domestic obstacles to achieving stable inflation. We f
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have outperformed the rest of the region over the past two days. We maintain the view that the koruna and zloty yield curves cannot decouple from the global narrative, and that higher energy prices will keep rate hikes priced in for longer. The Hungarian curve will face a test next Monday or Tuesday with the release of the draft budget for next year – an event drawing significant market attention, though expectations may be overly optimistic. FX, on the other hand, remains more or less stable, and we continue to hold our bearish views for the CEE region in general.

Frantisek Taborsky

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IDR: MSCI downgrade warning sinks local assets

In a statement that will have been a difficult read for Indonesian authorities, MSCI said overnight that it was launching a consultation to reclassify MSCI Indonesia indexes from Emerging Market to Standalone Market status. Merely dropping Indonesia to Frontier Markets would not properly recognise the depth of the market problems, says MSCI. These problems are opaque shareholding structures and suspected coordinated trading behaviour, according to MSCI.

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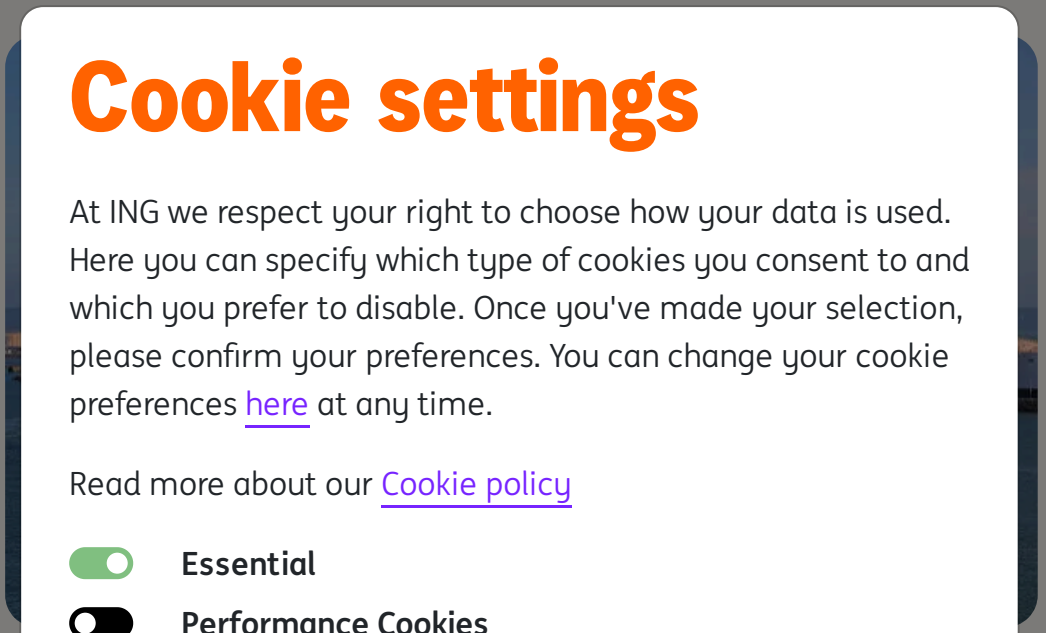
Oil is holding firm as Middle East tensions refuse to cool. Meanwhile, IEA members agreed to release the rest of the emergency stockpiles they pledged earlier this year

Warren Patterson and Ewa Manthey



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the session, then claw back most of those losses by the close. As a result, ICE Brent continues to comfortably trade above $100/bbl. Uncertainty in the Middle East and concerns over the sustainability of oil flows through the Strait of Hormuz has the market pricing in a significant risk premium. The longer this pickup in flows continues, the more likely the market will start giving back some of this risk premium. In order to see a full removal, there needs to be some kind of agreement between the US and Iran. This would provide the market with more confidence that stronger oil flows from the region will continue.

International Energy Agency members agreed to release the remaining 100m barrels of oil from strategic reserves. It's part of the initial 400m barrels that members agreed back in March to help with the Persian Gulf supply shortfall. According to the IEA, members have distributed around 330m barrels to date. From the 100m barrels to be released, 20m barrels will be diesel, and will make its way onto the market as soon as possible. The US probably won't be happy with the scale of the release, particularly regarding diesel. Initial suggestions were that we could see around 50m barrels of diesel released. The risk is that if the US believes these volumes are not enough, the administration may mull restrictions o

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played part in the inventory decline, with offshore production shut in due to the storm. US output is estimated to have fallen by 300k b/d week-on-week. Crude oil imports fell by 791k b/d WoW, a key driver behind the fall in stocks. For refined products, US refineries increased their utilisation rates by 0.8pp to 93.5%, leaving utilisation rates at their highest seasonal levels in at least 20 years. Despite this, distillate fuel stocks still fell by 2.53m barrels over the last week. This leaves distillate inventories at record seasonal lows as we head into winter. Meanwhile, gasoline stocks increased by 3.52m barrels.

Metals — Iron ore breaks below $90... briefly

Iron ore prices fell briefly below $90/t yesterday, the lowest since November 2022, as weak Chinese demand and abundant global supply continued to weigh on sentiment. Prices have declined more than 14% this year, pressured by the prolonged weakness in China's property and construction sectors. This is undermining steel demand. China's crude steel production during the first eight months of 2026 fell to its lowest level for the period since 2018, highlighting the impact of the country's real estate downturn. With steel mills operating on thin margins, further production cuts

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more than 1% higher amid firmer demand numbers. Data from the European Cocoa Association showed European cocoa grindings rose 3.2% year-on-year and 10% quarter-on-quarter to 348.2kt in 3Q26, marking the first annual increase since 2Q24. Similarly, the Cocoa Association of Asia reported a 29.2% YoY increase in grindings and a 4.1% QoQ rise to a record 233.8kt.

In its monthly update, the International Grains Council (IGC) raised its 2026/27 global corn production forecast to 1,307mt from 1,301mt, while consumption was revised up to 1,323mt from 1,321mt. This saw global corn ending stocks increase to 297mt

from 289mt. For wheat, the council left production unchanged at 820mt but marginally increased consumption to 827mt from 826mt. Despite the higher demand estimate, wheat ending stocks were revised up to 279mt from 278mt. For soybeans, 2026/27 global ending stocks were raised to 74mt from 73mt as weaker demand (-3mt) more than offset lower production (-1mt). Global soybean production is still projected to reach a record 439mt, supported by large crops in the US and South America.

Tanker | Steel | Softs | Russian sanctions | Persian Gulf

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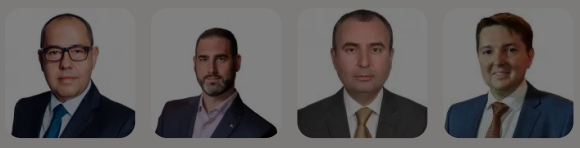
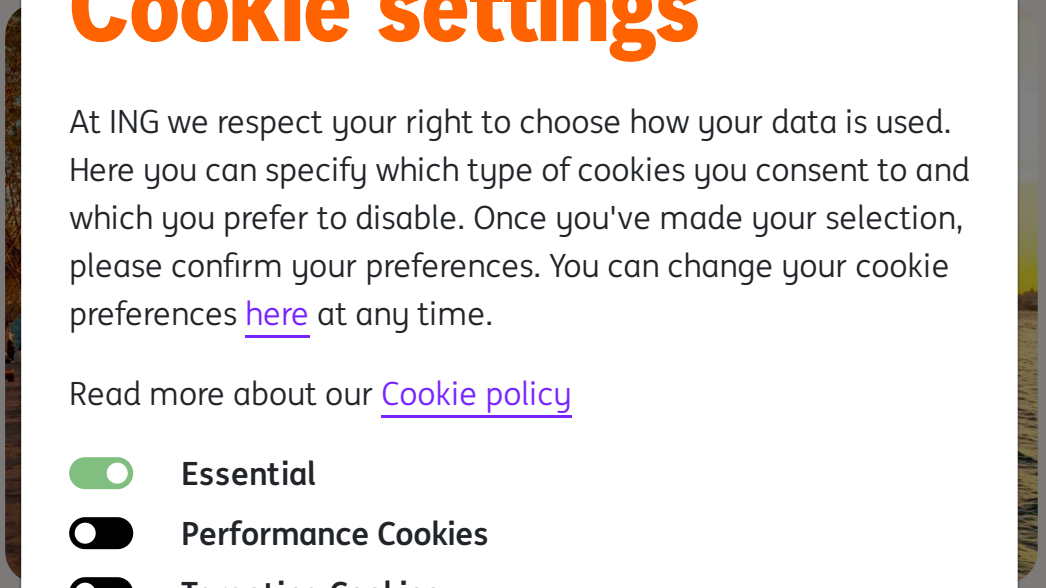
Hungary, Turkey and Kazakhstan will announce interest rate decisions next week, while Poland releases industrial output, labour market and retail sales data



Adam Antoniak, Peter Virovacz, Muhammet Mercan and Dmitry D



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data in focus

September industrial output and labour market data will be released on Tuesday. Although the European and German economies show signs of recovery, Polish manufacturing remains fragile and uneven. Some sectors, including electrical equipment, machinery and equipment, and other transport equipment, are performing relatively well. Others, such as textiles, furniture and the automotive industry, continue to struggle. With the calendar effect neutral (the number of working days is the same as a year earlier) and a high comparison base, we forecast low single-digit growth in industrial production in September. At the same time, we expect PPI

inflation to accelerate further, driven mainly by higher crude oil refining costs.

Poland's labour market remains stable. It is no longer exceptionally tight, nor showing signs of weakening. Wage growth in the enterprise sector has moderated and is stabilising at around 6.0%, no longer exerting significant pressure on price growth. Employment continues to decline amid an ageing population and an insufficient inflow of younger workers to replace those retiring, particularly in manufacturing. Enterprise-sector data do not capture the employment of immigrant workers.

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policy and risk sentiment. In practice, however, it is difficult to assess these factors in the run-up to the October rate-setting meeting on Tuesday. Although inflation figures were dovish, market volatility in relation to geopolitical developments remains high. With no clear de-escalation in sight, risk sentiment won't allow the NBH to cut rates now.

Regarding fiscal policy, although the central bank is aware of the 2027 budget, as the NBH governor sits on the Fiscal Council that reviews and approves it, no public information will be available on this. Therefore, we do not believe this will provide an opportunity for immediate monetary policy easing. Given the timing, we anticipate

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another on-hold meeting. However, if the fiscal situation were to materially reduce the country-specific risk premium, we wouldn't rule out the possibility of a rate cut in November. Nevertheless, the Monetary Council won't commit to this just yet.

Turkey: Central bank expected to cut rates by 100bp

Thursday brings Turkey's October interest rate decision. Recent inflation data has boosted the likelihood of a rate cut.

In addition, investment fund volatility is likely to increase downside ri

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in CPI was overwhelmingly food-driven, while a renewed acceleration in overall inflation, taking it further away from the 5% long-term target, remains a risk. Importantly, the global backdrop of rising core rates also argues for keeping real rates high.

Regardless of the decision, we believe the scope for policy easing at this point is limited.

Key events in CEE & CCA next week

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Country	Time (BST)	Data/event	ING	
		Tuesday 20 October		
Poland	0830	Sep Employment Growth (YoY%)	-0.8	-0.8
	0830	Sep Industrial Output (YoY%)	2	4.3
	0830	Sep PPI (YoY%)	5.7	4.2
	0830	Sep Wages (YoY%)	6	5.6
Hungary	1300	Rate Decision	5.50	5.50
		Wednesday 21 October		
Russia	1700	Sep PPI (MoM%/YoY%)	-/-	0.9/6.5
		Thursday 22 October		
Turkey	1200	Rate Decision	36	37
	1200	Oct Overnight Lending Rate	39	40
	1200	Oct Overnight Borrowing Rate	34.5	35.5
	1200	FX Reserves (USD bn)	63.6	60.3
Poland	0830	Sep Retail Sales (YoY%)	4.2	3.8
	1300	Sep M3 Money Supply (YoY%)	11.5	11.3
Hungary	0730	Sep Unemployment Rate (3m avg)	5.0	4.8
		Friday 23 October		
Russia	1130	Rate Decision	14.00	14.00
Poland	0830	Sep Unemployment Rate	5.8	5.8
Kazakhstan	0800	Rate Decision	16.00	16.25

Source: Refinitiv, ING

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We think the US 10yr stays above 5%, and in fact heads back up to 5.25%. That won't help the eurozone, which continues to grapple with the problem that is France. Probably overdone, but far from over

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But don't get too comfortable

Treasury market moves of late have been quite something. There were buyers in the 5.3% area post the CPI release on Wednesday. Then the Asian open coincided with some large falls in equities, with a particular focus on Korean equities, which prompted some follow-on buying of Treasuries. Note, however, that there have been decent buyers of Treasuries on an ongoing basis in the past number of weeks. It just has not translated into a meaningful move lower in yields, mostly as it had been offset by net shorts on Treasury futures. We've been overdue a reversal.

That said, we're not convinced this is a structural move, and we'd be quite surprised if we were to break below 5% on the 10yr yield. Treasuries did not react much to Thursday's data, but market participants will be aware that we had another good (low) jobless claims number, retail sales were firm and PPI inflation uncomfortably high. The market will likely use this as a platform from which to rebuild higher in yields over the weeks ahead, and into the mid-terms; especially with neither side voicing an intention to take action on the fiscal deficit. The issues of high printed inflation and a high deficit remain.

The balance of probabilities suggests there is at least one more leg o
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area to the 120bp area. And French spreads to Germany are practically as wide as they've ever been since the dawn of the euro, even versus the immediate pre-EMU years. The safe narrative to reach for is the debt dynamics one, and the lack of ambition to correct it. Made worse, in fact, by the political options being offered for 2028.

This is probably overdone, as a swing to the right (should it occur) could have some tail positives that aren't currently properly discounted. Look at the improvement seen in Italian spreads following the rise of Prime Minister Giorgia Meloni. It's been gradual

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but persistent, and has not been overly impacted by French concerns. In that sense, the Italian response has been low beta in characterisation, which is good.

In fact, the first real bout of widening in French spreads can be traced back to President Emmanuel Macron's election gamble of mid-2024. Things subsequently calmed, but were not forgotten. The recent spike is an amplification and extension of an underlying tension that has not gone away. So, overdone? Probably, yes. But we also remain in a danger zone for bonds generally. Just like in the US, more overshoots to the upside are entirely foreseeable.

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Oil prices remain firm despite rising supply from the Persian Gulf. We expect oil prices to trade lower into year-end. More positive signs of a potential US-Iran deal would give us more confidence in this view. Meanwhile, European gas looks vulnerable heading deeper into the heating season

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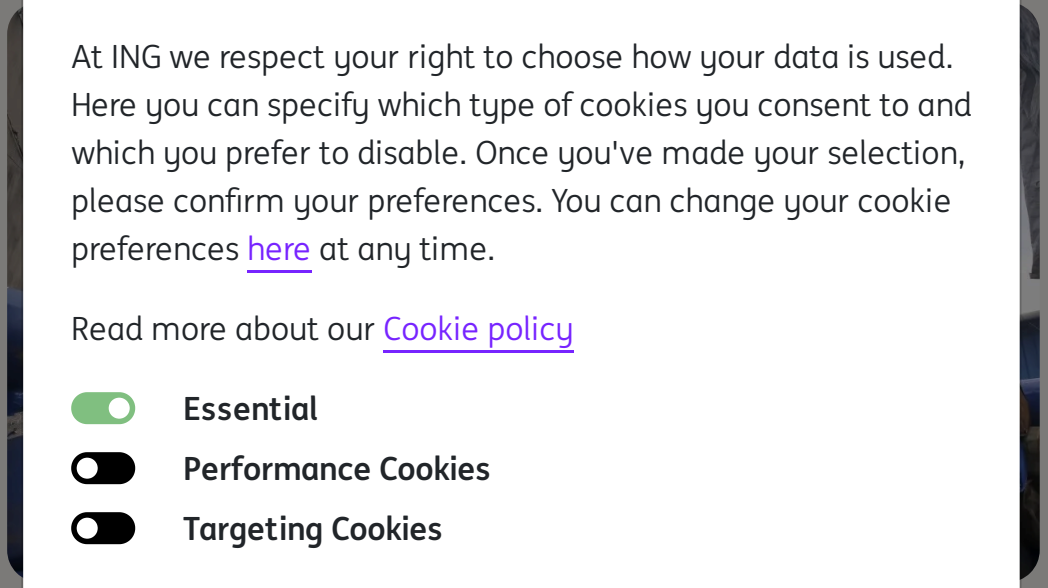

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Persian Gulf oil flows pick-up

There are few signs of de-escalation in the Middle East. If anything, it appears as though the conflict is broadening, with the Houthis in Yemen increasingly targeting Saudi Arabia. Despite little improvement in the geopolitical environment, oil flows from the Persian Gulf have been trending higher with supply from the region returning to 70-75% of pre-war levels, although there are some estimates suggesting we could be back to as high as 80-90% of pre-war flows.

The fact that oil prices are well-supported despite the improvement in flows from the region appears to reflect concerns over how sustainable this supply is, particularly when considering the geopolitical backdrop. The market continues to price in a large risk premium in the absence of a deal between the US and Iran. And to see this risk premium erode, the market may need the comfort of a deal. Failing that, time may be enough for oil prices to trend lower, assuming supplies from the region continue to hold up. For now, we are holding onto our 4Q26 Brent forecast of $80/bbl and FY27 forecast of $71/bbl. However, given the high level of uncertainty, this is a low-conviction call, specifically for 4Q26.

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are likely to remain elevated.

Natural gas vulnerable heading into heating season

European natural gas prices have traded at their highest level since December 2022, with supply concerns growing as the region heads into the heating season. Unfortunately for the natural gas market, we have not seen a similar recovery in LNG flows from the Persian Gulf as we have with oil. Therefore, LNG flows from the region remain down about 80% year-on-year. The market is increasingly

accepting that Persian Gulf LNG could remain largely absent from global markets for much of the Northern Hemisphere winter. This means Asia and Europe will continue competing for spot cargoes throughout the winter, keeping prices well supported and leaving the market vulnerable to further spikes.

European gas storage remains a concern, at just under 75% full, well below the five-year average of 89%. Low storage has seen the German government instruct state-owned SEFE to buy and store an additional 8TWh of natural gas by 15 December. The prospect of essentially forced buying provides further support to the market.

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WTI TTF Strait of Hormuz Russia-Ukraine Persian Gulf Natural gas Monthly Economic Update Middle East LNG Geopolitics Freight Energy prices Diesel Brent

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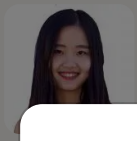
As climate risks have a larger impact on supply chains, the need to finance resilience-building initiatives is increasing. Banks have an important role to play by expanding their financing toolkit, while companies with proactive resilience strategies can gain greater access to capital



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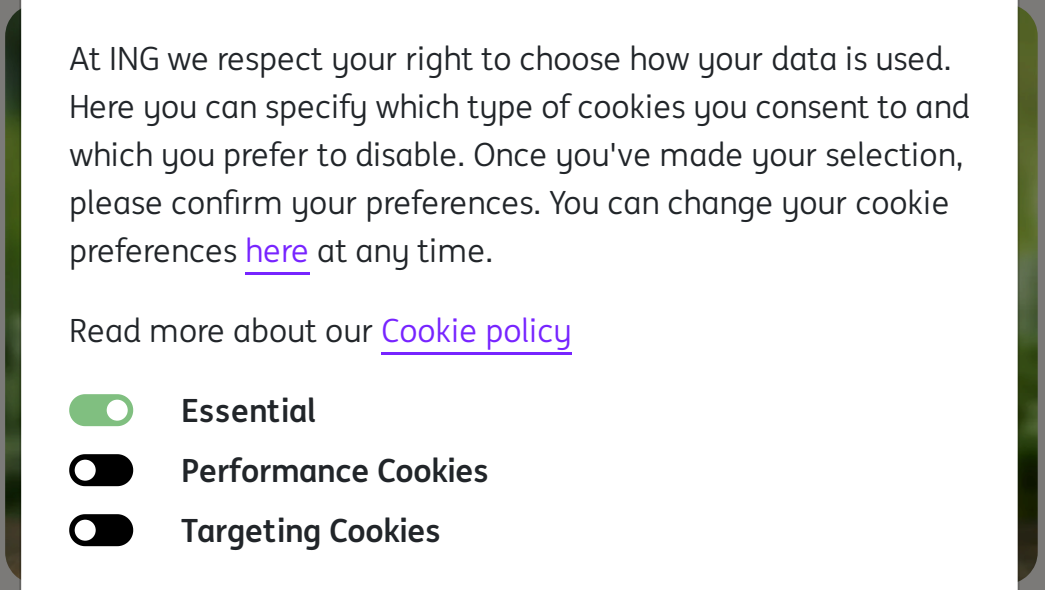

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Climate and weather-related shocks are a growing source of supply chain risk. In August, the Rhine River's water levels hit a record low since 1880, hindering trade flows across Europe. In 2024, Hurricane Helene affected global tech and medical supply chains by flooding key ultra-pure quartz production facilities in the US. The upcoming "very strong" El Niño could substantially disrupt temperature and precipitation patterns across the globe next year, putting, for example, food production and trade at risk.

These events underscore the need to build supply chain resilience. Extreme weather is now a more impactful part of the supply chain

risk landscape alongside geopolitics and other risks.

Yet significant gaps remain. First, while the awareness of supply chain climate risks is rising, many companies have yet to acknowledge their financial materiality. Second, the uptake of financing solutions has not kept pace with supply chain resilience needs, despite trade finance supporting around 90% of global trade. This leaves financial institutions well positioned to expand financing solutions that support corporate supply chain resilience. Below is how they can do it.

Expanding banks' toolkit for supply chain r

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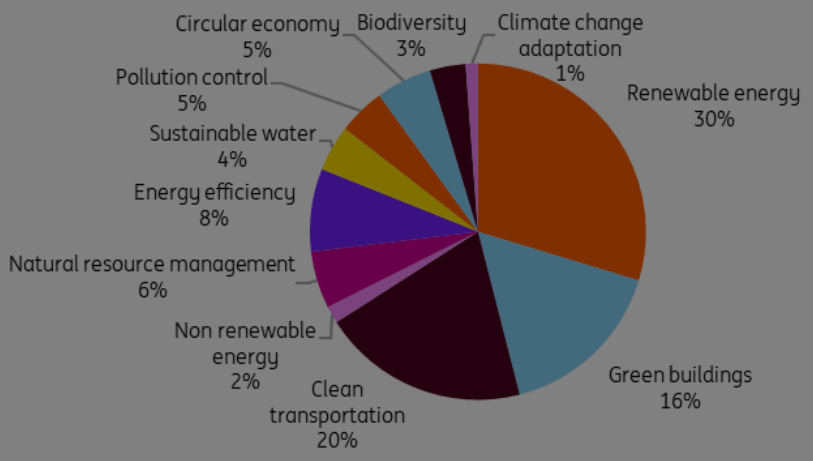
Global green bond use-of-proceeds allocation, January-August 2026



Source: ING Research, BloombergNEF

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- The traditional supply chain and trade finance solutions can be tailored to integrate resilience objectives. For example, guarantees can support cross-border trade in climate-resilient goods, while preferential financing terms can reward companies that actively manage supply chain risks. By incorporating supply chain risk assessments into financing programmes and linking working capital solutions to supplier resilience, these products can help companies better withstand disruptions and support long-term growth.

- **Climate and resilience tech finance**

- Banks can provide financing and advisory services to help scale and deploy technologies that strengthen supply chain resilience. Examples include water management technologies, regenerative agriculture, and indoor farming. These solutions can improve the upstream supply chains of industries such as food, beverage, and hospitality. As interest in resilience technologies grows, financial institutions are increasingly developing tailored financing solutions to support their adoption.

- **Blended finance**
  - Some resilience technologies, projects, and markets may

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As banks work to expand their financing offerings to enhance supply chain resilience, companies would benefit from doing their part as well. My colleague Rico Luman has written about some best practices companies can adopt in their day-to-day operations. These include building up inventory of high-risk supply materials, diversifying suppliers and transport routes, and improving supply chain visibility. Financing solutions that link resilience to working capital, for example, can help companies strengthen these efforts.

Companies can also look beyond day-to-day operations and invest in longer-term resilience initiatives, such as climate-resilient materials, water management technologies, and other adaptation s
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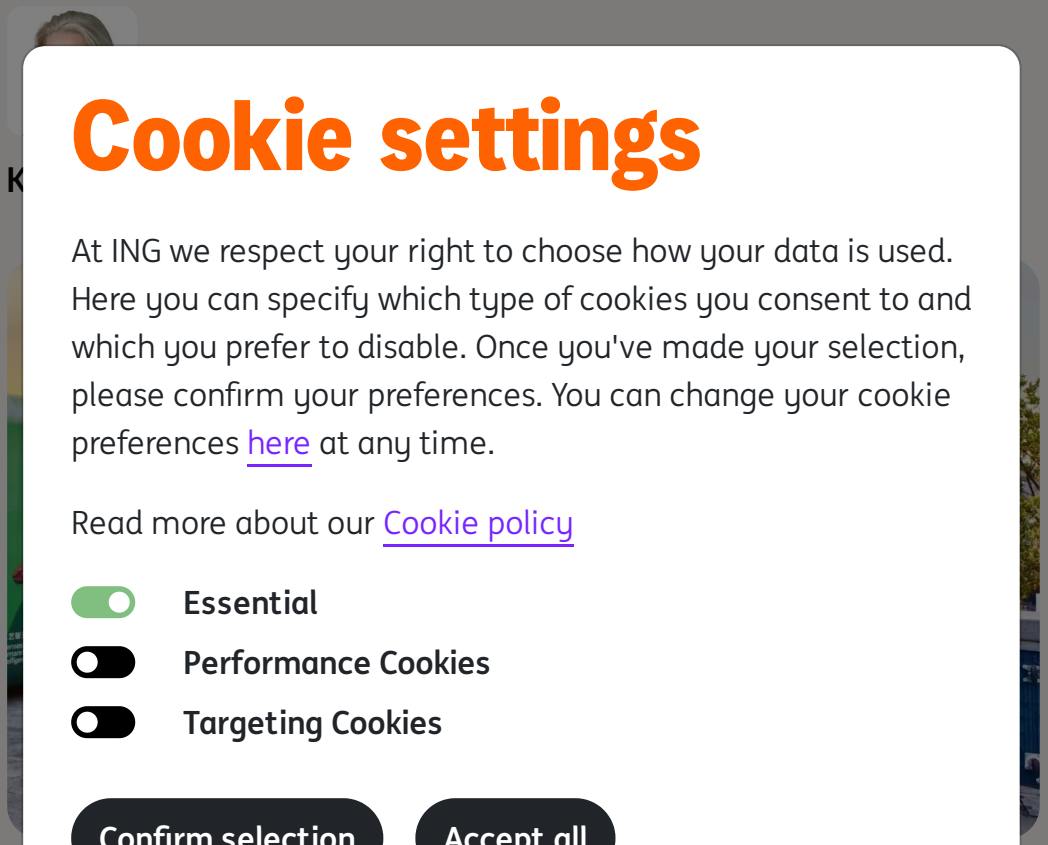
Agentic commerce, where autonomous AI agents independently select and purchase products on behalf of consumers, is forcing retailers to rethink their role. As AI takes over more of the buying process, physical stores are evolving from a sales channel into a destination for advice, service, experience, and omnichannel support



how consumers shop

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Agentic commerce fundamentally changes the buying process

Retail is entering a new phase of digital disruption. E-commerce has already transformed *where* consumers shop; agentic commerce is set to change *how* they shop. Autonomous artificial intelligence agents can search, compare and purchase products on behalf of consumers, shifting shopping from an active task to an increasingly automated background process.

Agentic commerce goes beyond AI assistants and comparison websites

Key differences between agentic commerce, AI assistants (such as ChatGPT and Gemini) and comparison websites

	Agentic commerce	AI assistants	Comparison websites
Role in customer journey	Actively manages parts of the customer journey	Provides information and recommendations	Helps consumers compare products and prices
Degree of autonomy	High: can execute tasks independently	Low to medium: provides recommendations	None
Decision-making role	Makes decisions	Decisions remain with	Decisions remain with

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optimal time to buy.

Adoption is likely to be slower for luxury, trend-sensitive and experience-driven products. In these categories, inspiration, emotion, and personal preference remain central to the purchasing decision, making consumers less inclined to relinquish control. AI agents can assist by pre-selecting products that match predefined preferences, but final purchasing decisions are likely to remain firmly in the hands of the consumer.

Consumer electronics and personal care lead the adoption of agentic commerce

Within non-food retail, agentic commerce appears particularly well suited to consumer electronics and personal care. Both sectors are characterised by a high degree of product standardisation and a large share of repeat purchases, making them ideal candidates for AI-driven purchasing.

In consumer electronics, purchasing decisions are often based on objective and easily comparable criteria, including price, technical specifications, and availability. This makes products such as t
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Product categories most and least suited to agentic commerce

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Segment	Suitable for agentic commerce	Products most suited	Products least suited
Consumer electronics	High	Standardised products with clearly measurable specifications.	Hobby-related products and more complex products that require expert advice
Personal care	Medium to high	Routine and repeat purchases	New product launches, fragrances and highly personal products
Fashion	Medium	Basic apparel (t-shirts and socks)	Trend-driven and luxury fashion items
Home furnishings	Medium	Functional furniture, replacement purchases, and products with clearly measurable features.	Trend-driven products, customised products, and decorative items

Source: ING Research

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Chinese platforms lead adoption

Agentic commerce creates the greatest opportunities for large global marketplaces and technology companies. These players combine vast product assortments with the scale, data and infrastructure needed to deploy AI agents effectively. Their integrated ecosystems, including payment solutions, logistics networks, and data platforms, enable them to integrate AI agents into their business operations faster and more effectively.

Chinese platforms such as Alibaba and JD.com currently lead the way, with AI agents already deeply integrated into their respective platform networks. These agents can not only provide product

recommendations but also complete purchases autonomously. Meanwhile, US technology companies including Amazon, Google, Meta, OpenAI and Anthropic are investing heavily in the development and rollout of AI agents, intensifying the global race for leadership in this emerging market.

European players are structurally lagging behind their American and Chinese competitors. Stricter regulation and less integrated platform networks limit their ability to bundle scale, data and services. While Zalando is among Europe's frontrunners in AI-powered retail, its applications are currently focused on product discovery, comparison, and selection. Fully autonomous p

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their role is changing

How will the role of the physical store evolve in an AI-driven retail landscape?

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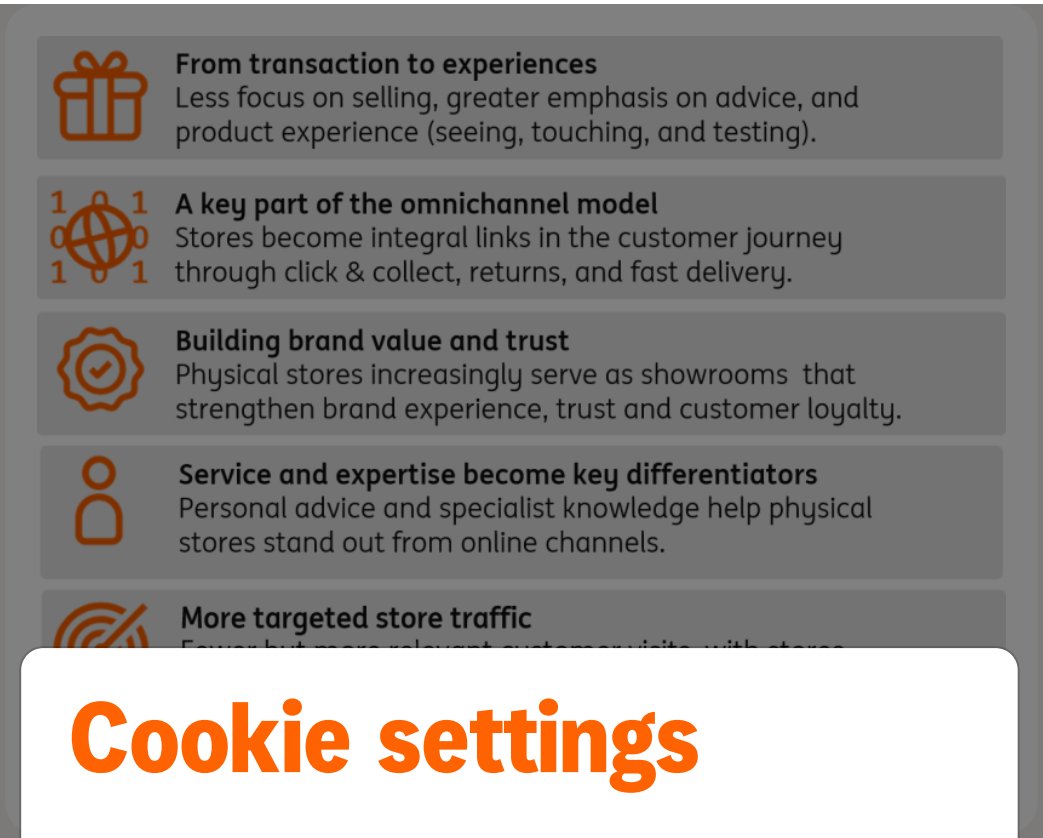

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Retailers that successfully integrate their physical and digital channels, define clear roles for their stores, and deploy technology strategically can strengthen their position within the customer journey. In a future shaped by AI-driven commerce, their role will increasingly centre on adding value where automation cannot.

Retail | Consumption | AI

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Crude tanker rates have hit all-time highs amid the prolonged Iran war and Strait of Hormuz disruption. Restructured oil flows and a rush for capacity to handle oil transport operating under military protection have driven rates sharply higher, adding further pressure to fuel prices alongside strong refinery margins

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Tanker shipping thrives in risky waters amid a continued capacity squeeze

Oil tanker markets sit at the centre of geopolitical turmoil, and this year that has translated into record-breaking freight rates as the conflict in the Middle East drags on. Tankers have been caught up in sanctions regimes and repeatedly targeted in key shipping lanes, including the Strait of Hormuz, Bab al-Mandeb and the Gulf of Aden.

At the same time, demand for tanker capacity has surged as traders seek alternative routes and sources of supply, including

increased shipments from the US. The opening of a protected corridor through Omani waters has enabled additional crude exports and vessel movements, but has also placed further strain on an already stretched market. Shuttle services now operate around the Strait of Hormuz, with under the radar activity and ship-to-ship transfers taking place outside the chokepoint.

The conflict and tanker seizures in the Persian Gulf erupted at a time when the market was already facing a shortage of capacity. New deliveries of crude carriers slowed sharply following a record-low order book in 2022-23, while an increasing number of older and smaller vessels joined Russia's shadow fleet, further reducing the p

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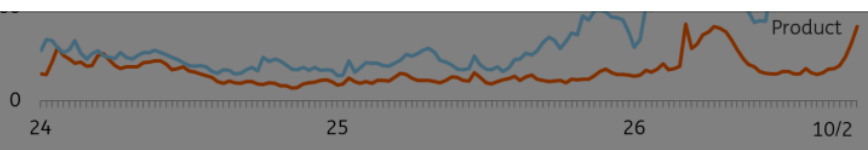

Source: Clarksons, ING Research

Crude tanker earnings rose tenfold on rush for capacity

The capacity squeeze, combined with operating in risky war zones and facing highly elevated insurance premiums, has sent tanker rates soaring. We have seen previous surges in this volatile market,

such as in 2022 after sanctions were placed on Russia, but this spike is beyond levels ever seen before.

Average global crude vessel earnings exceeded an unprecedented level of $500,000 per day, 10 times the 2025 average, in early October. For Suezmax tankers and very large crude carriers (VLCCs, with a maximum capacity of 2m barrels) alone, rates surged even beyond that. Crude shipments from Ras Tanura in Saudi Arabia to Rotterdam made up about $2/bbl in 2025; in September, this surged beyond $35. Combined with high refinery margins (the current crack spread of diesel in Europe is about 2.5 times the 2025 average), this could add over $0.50 to the base price of a litre of d

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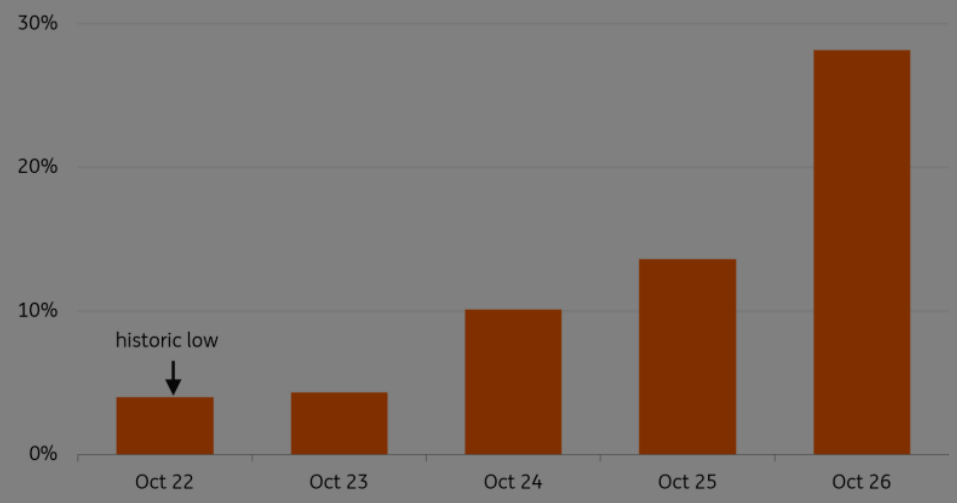

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delivered in 2028-29, likely after the current boom ends. It's all about geopolitics and how the Middle East conflict evolves, but tanker markets could still see a solid 2027.

Tanker | Shipping | Oil prices | Oil demand | Hormuz | Fuel | Diesel

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